



FINANCING GUIDE / 06

Working Capital & Revenue-Based Financing

A practical guide to business-purpose capital for operating expenses, growth, inventory, payroll, and short-term cash-flow needs.

Working-capital financing can take several forms. Some products are structured as term loans or lines of credit; others are underwritten primarily around recent business deposits and revenue and may have more frequent repayment structures.

The right option depends on how much capital is needed, how quickly it is needed, the business's operating history and cash flow, existing debt, credit profile, and how the funds will be used.

Common use cases

- Payroll and operating expenses
- Inventory purchases
- Marketing and customer acquisition
- Expansion and hiring
- Seasonal cash-flow needs
- Time-sensitive contracts or business opportunities

HOW LENDERS LOOK AT IT

What typically drives the financing decision

Revenue and deposits

Recent monthly revenue, bank deposits, consistency, seasonality, and ending balances.

Time in business

Many cash-flow programs require an operating history, while thresholds vary across lenders and products.

Existing obligations

Open positions, daily/weekly payments, liens, and current debt service can affect available capacity.

Credit and payment history

Credit can influence structure and pricing even where cash flow is the primary underwriting driver.

Use of funds

The amount requested should make sense relative to revenue, existing obligations, and the business purpose.

PREPARING YOUR REQUEST

What to have ready

Requirements vary by program, but a complete and organized package helps FLS identify the right path and reduces unnecessary back-and-forth.

Core submission

Completed application and recent consecutive business bank statements.

Larger requests

YTD P&L;, balance sheet, tax returns, debt schedule, or additional financial information may be requested.

Business information

Entity/ownership information, identification, use of funds, and current financing details.

PROCESS

From request to funding

1 Define the need

Define amount, use of funds, and desired timing.

2 Review the business

Review revenue, deposits, operating history, credit, and existing obligations.

3 Compare structures

Compare line-of-credit, term, revenue-based, and other working-capital paths.

4 Submit & underwrite

Submit to the best-fit source and complete underwriting.

5 Review terms

Review the approved structure, payment frequency, total cost, and terms before funding.

WHAT CAN STRENGTHEN THE REQUEST?

Stable or growing deposits, manageable existing debt, clean recent payment history, adequate ending balances, and a financing request proportional to business cash flow can strengthen the file.

Find the right working capital & revenue-based financing path

FLS Capital Advisors works across multiple financing sources rather than forcing every request into one program. Answer a few questions about your business and financing objective, and a specialist will review the paths that may fit.

flscapitaladvisors.com/start Talk with a specialist: flscapitaladvisors.com/contact

General information only. This guide is intended for educational purposes and does not constitute an approval, commitment to lend, or guarantee of financing. Programs, eligibility, rates, fees, terms, collateral requirements, and documentation requirements vary by funding source and may change. Final eligibility and terms are determined by the applicable funding source after review of a complete application.